Purchase Approval Policy

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Related documents	OPS-002, OPS-008, HR-004, OPS-010

Summary. Policy setting who may approve purchases and spend at Northstar Systems by value, the quotation and RFP thresholds, purchase order rules, unbudgeted and capital spend controls, sole-source justification, split-purchase prohibition and handling of urgent purchases and invoices without a PO.

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1. Purpose and Scope

This policy sets the approval rules for spending money on behalf of Northstar Systems Private Limited ("Northstar"). It ensures that every purchase is needed, budgeted, competitively priced, approved by someone with the right authority, and backed by a purchase order (PO) before any commitment is made to a supplier. It applies to all purchases of goods, software, subscriptions, cloud services, professional services, contractors, facilities and marketing, whether paid by PO, corporate card, petty cash or expense claim. It applies to budget owners, managers, Finance and Procurement staff and anyone who requests or approves spend.

The policy relies on these systems: NorthBuy (purchase requisitions, POs, vendor master and contracts repository), NorthPay (expense claims and corporate card reconciliation) and NorthDesk (tickets for exceptions). Employee travel and expense claims are covered in HR-004; corporate card and petty cash rules are in OPS-010; budgets and cost centres are in OPS-008. This policy is the authority for approval limits, and those other documents refer to it. Any legal or tax reference in this document is illustrative and must be verified by Legal before external use.

2. Definitions

- **Requisition:** a request raised in NorthBuy by a requester to buy something. It becomes a PO after approval.
- **Purchase order (PO):** the formal order sent to an onboarded vendor that commits Northstar to pay. A PO number must exist before any commitment.
- **Budget owner:** the person accountable for a cost centre, for example CC-ENG-014.
- **Department head:** the senior leader of a function, typically Band B6 or B7.
- **Finance Controller:** the Finance role that owns this policy and verifies budget and policy compliance.

- **Capital expenditure (capex):** a single item above INR 1,00,000 with a useful life of more than 1 year, recorded as an asset.
- **Sole-source purchase:** a purchase from one supplier without competitive quotes because only that supplier can meet the need.
- **Contract year value:** the total value payable to a vendor in a 12-month period under one PO or contract.

3. Roles and Responsibilities

Role	Responsibility
Requester	Defines the need, raises the requisition, gathers quotations, never commits before approval
Reporting manager (Band B4 or above)	Approves low-value spend and confirms business need
Budget owner	Confirms the budget is available in the right cost centre
Department head	Approves mid-value spend and sole-source justifications within delegated limits
Director (Band B6) and Finance Controller	Jointly approve spend in the 50,001 to 2,00,000 range
CFO	Approves spend in the 2,00,001 to 10,00,000 range and all unbudgeted spend above INR 1,00,000
CEO	Co-approves with the CFO spend above INR 10,00,000
Procurement	Runs quotations, RFPs, vendor selection and PO issue
Finance (Accounts Payable)	Matches invoices, rejects invoices without PO, runs payments

4. Delegation of Authority for Purchases

The approver for a purchase depends on the value of the transaction, PO or contract year, whichever is higher.

Amount (INR, per transaction/PO/contract year)	Approver
up to 10,000	Reporting manager (Band B4+)
10,001 to 50,000	Department head
50,001 to 2,00,000	Director (Band B6) and Finance Controller
2,00,001 to 10,00,000	CFO
above 10,00,000	CFO and CEO jointly

Where the table names two approvers, both must approve in NorthBuy. An approval is valid only if given inside NorthBuy; email or chat approvals are not accepted as a substitute but may be attached as supporting evidence.

4.1 Rules for approvers

1 No one may approve their own request. A request raised by an employee in a person's reporting chain must go to an approver who is not below the requester in that chain.
2 Approvers must not be below Band B4. A Band B3 employee, even if acting as team lead, cannot approve purchases.

3 Approval authority follows the role, not the person. If the named approver is on leave, the request goes to their delegate registered in NorthBuy, who must hold the same or a higher band.
4 Approvers must check that the need is genuine, the budget exists, the price is reasonable and the process in this policy has been followed. Approval without this check is a breach of the policy.
5 Spend is measured per contract year. A three-year contract costing INR 1,20,000 each year is approved at the INR 50,001 to 2,00,000 level, and any multi-year term also needs Legal review under OPS-005.

Example: A Band B5 Engineering Manager wants to buy a software licence for INR 8,500. Her reporting manager (Director, B6) approves in NorthBuy. If the Director's manager wished to buy the same licence, the VP Engineering (a department head) would approve it, because he cannot approve his own request.

Example: The Head of Customer Success needs a training vendor for INR 1,80,000. The request needs the Director (B6) and the Finance Controller. If the Head of Customer Success is also the Director, the request goes to the VP Customer Success and the Finance Controller, because no one may approve their own request.

4.2 Splitting is prohibited

Splitting a purchase into smaller parts, or raising several requisitions for related items, to stay under an approval or quotation threshold is prohibited. Procurement checks for related requisitions raised by the same requester, cost centre or vendor within 30 days. Detected splitting is escalated to the Finance Controller and may lead to disciplinary action under the Code of Conduct.

Example: A team needs 12 monitors at INR 18,000 each, INR 2,16,000 in total. Raising three requisitions of INR 72,000 does not avoid the CFO level; the true value is INR 2,16,000, which needs CFO approval and three quotations.

5. Quotation and Sourcing Rules

Purchase value (INR)	Sourcing requirement
up to 25,000	One quotation
25,001 to 3,00,000	Minimum three written quotations
above 3,00,000	Formal RFP through NorthBuy and Procurement Committee review
above 25,00,000	Procurement Committee review plus CFO sign-off

Quotations must be written, dated, comparable in scope, valid for at least 30 days and obtained from vendors that are independent of each other. The requester attaches them to the requisition. Procurement may reject quotations that are not comparable. Vendor selection and evaluation steps are in OPS-003, and the end-to-end sourcing steps are in OPS-002.

If fewer than three suppliers exist for a purchase in the 25,001 to 3,00,000 band, the requester records which suppliers were contacted and why they could not quote. The department head must approve this record.

5.1 Sole-source purchases

A sole-source purchase is allowed only when one supplier is the only practical option, for example proprietary software maintenance, a specific regulatory certification body or an extension of work

already delivered by the same supplier. The requester must submit a written justification explaining why no alternative exists and why the price is fair. The justification must be approved one level above the DoA approver for the purchase.

Example: Maintenance of INR 4,00,000 per year for a proprietary tool is normally approved by the CFO. As a sole-source purchase, the written justification must be approved one level above the CFO, which means the CFO and CEO jointly.

6. Budget Rules

1 Spend must be within the approved budget of the relevant cost centre (codes such as CC-ENG-###, CC-HR-###, CC-SEC-###, CC-OPS-### and CC-CS-###).
2 **Unbudgeted spend above INR 1,00,000** needs CFO approval in addition to the DoA approver for that amount. Unbudgeted spend of INR 1,00,000 or less follows the normal approval table.
3 Moving budget from one cost centre to another above INR 1,00,000 needs CFO approval (see OPS-008).
4 Budget owners must not commit the next fiscal year's budget before it is approved. The fiscal year runs from 1 April to 31 March.
5 A requisition that exceeds the remaining budget is blocked by NorthBuy until the budget owner arranges a transfer or approval.

Example: The Security team wants to buy a penetration-testing tool for INR 1,40,000, which was not in the budget. The Director and Finance Controller approve under the DoA table, and because the spend is unbudgeted and above INR 1,00,000, the CFO must also approve before a PO is issued.

7. Capital Expenditure

A single item above INR 1,00,000 with a useful life of more than 1 year is capex. Capex requests must state the asset type, expected life, owner and cost centre. Approval follows the DoA table; the Finance Controller records the asset and an asset tag in the format NS-AST- followed by six digits is created (see OPS-007). Items such as laptops, servers and network equipment are tagged even if their individual value is below the capex threshold, as OPS-007 explains.

8. Purchase Orders

1 A PO must exist before any commitment to a vendor is made, whether verbally, by email, by clicking an online order or by signing a quote.
2 The vendor must be onboarded in the NorthBuy vendor master before a PO is issued. Vendor onboarding is covered in OPS-004 and takes up to 5 business days from a complete document set.
3 The PO must show the vendor, description, quantity, price, taxes, delivery or service dates, payment terms, cost centre and approvers.
4 A PO may be increased only by a variation approved at the DoA level of the new total value. A variation of more than 10% of the original value requires a new approval of the whole PO.
5 Invoices without a PO are not paid. The only exceptions are pre-approved utilities and statutory payments, which Finance maintains on a standing list.
6 Advance payment to a vendor may be up to 30% of the PO value, needs CFO approval and is allowed only for onboarded vendors.

7 A PO expires when its end date passes. Open POs with no activity for 180 days are reviewed and closed by Procurement.

8.1 Retrospective POs

A PO raised after the goods or services were ordered is a "retrospective PO" and a policy breach. It may be raised only with written approval from the Finance Controller and the DoA approver, a written explanation from the requester and the requester's department head. Procurement reports retrospective POs monthly to the CFO. Three or more retrospective POs raised by the same budget owner in a fiscal year are escalated to the CFO and the Chief People Officer.

9. Urgent and Emergency Purchases

Urgent business needs do not suspend the approval table. Where speed is essential, for example replacement hardware for a Tier-1 production outage or a security emergency, the following may be used:

- The approver may give approval verbally or through chat, and the requester must record it in NorthBuy within 1 business day.
- Quotation requirements may be reduced to a single quotation where the delay would harm customers or security, with the department head's written approval.
- The PO must still be raised, at the latest on the next business day.

Emergency purchases above INR 2,00,000 need CFO approval before ordering, even if only by phone or message confirmed afterwards. Using this route repeatedly for the same need is not allowed, because planning failure is not an emergency.

10. Invoices, Payments and Three-Way Match

Finance pays vendor invoices only after a three-way match between the PO, the goods receipt or service acceptance, and the invoice. The tolerance is 2% or INR 500, whichever is lower. Payments are made in the payment runs on Tuesday and Friday. Standard payment terms are Net 45 days from invoice receipt, and Net 30 days for MSME-registered vendors (illustrative). Budget owners must record service acceptance in NorthBuy within 3 business days of delivery so payment is not delayed.

11. Purchases by Other Routes

- **Corporate card:** the card may be used for small, low-risk purchases within card limits (see OPS-010) but does not bypass approval. A card purchase above INR 50,000 in a single transaction is not allowed.
- **Petty cash:** at most INR 5,000 per transaction, as described in OPS-010.
- **Expense claims:** employees must not pay vendors from personal money to avoid the PO process. Claims for items that should have gone through a PO may be rejected (see HR-004).
- **Contractors and consultants:** engaging an individual contractor follows this policy and needs HR approval where the engagement resembles employment.

12. Conflict of Interest and Gifts

An approver or requester who has a personal or financial interest in a vendor must declare it to the Finance Controller and withdraw from the decision. Vendors must complete a conflict-of-interest

declaration during onboarding. Gifts from vendors must follow the Code of Conduct (see HR-008); gifts above a nominal value must be declined or reported.

13. Exceptions and Escalation

Exceptions to this policy need the written approval of the CFO, recorded in NorthDesk with the reason, value, vendor and period. The CFO may delegate this to the Finance Controller for values up to INR 2,00,000. Exceptions are reported to the Audit Committee each quarter. Suspected splitting, fake quotations, approval of one's own request or collusion with a vendor must be reported to the Finance Controller or through the ethics hotline.

Disputes about whether a purchase is covered by this policy should be raised with Procurement at procurement@northstar-systems.example, and questions on budget or approval limits with the Finance Desk at finance@northstar-systems.example.

14. Frequently Asked Questions

Who approves a INR 35,000 software subscription? The department head, because the amount is between INR 10,001 and 50,000.

Do I need three quotes for INR 40,000? Yes. Above INR 25,000 and up to INR 3,00,000 at least three written quotations are required.

Can I buy first and raise the PO later? No. A PO must exist before any commitment. A retrospective PO is a breach and needs written approvals.

What if my manager is a Band B3 team lead? A B3 cannot approve. The request goes to the next approver who is at least Band B4.

How are annual subscriptions measured? By contract year value, plus any multi-year commitment, which also needs Legal review.

15. Related Documents

See OPS-002 for the procurement workflow, OPS-008 for budgets and cost centres, HR-004 for travel and expense claims and OPS-010 for corporate card and petty cash. Vendor selection is covered in OPS-003 and contracts in OPS-005.

16. Revision History

Version	Date	Change
2.1	2024-09-02	Added retrospective PO rule
2.2	2025-03-18	Clarified contract year measurement
2.3	2025-09-07	Aligned sole-source and urgent purchase wording